

Not Every Number Is a Probability

Two numbers sit on the screen this morning, and only one of them can carry the weight of a decision.

THE READING

The S&P 500 closed Monday at 7,413.18, up two-hundredths of a percent, which broke a four-session losing streak and settled nothing. The move was in oil. Brent fell 8.7% to \$88.36 and WTI 7.5% to \$82.61, the largest single-day unwind since April, after a third night without American strikes on Iran. Oil volatility gave back 10.9%, the OVX down to 60.6 from 68 on Friday. The Dow rose 0.51%. The mood is relief, and it is priced.

Two other numbers sit alongside it. Fewer than ten commodity vessels transited Hormuz on Monday, against roughly a hundred a day before the war. And the odds of a Fed hike on Wednesday have moved from 16% to about 40% in a week.

WHAT WISDOM WOULD SAY

Frank Knight, in *Risk, Uncertainty and Profit* (1921), separated two things ordinary speech runs together. Risk is a hazard whose distribution is known or can be estimated, so it can be priced, pooled, insured. Uncertainty is a situation for which no distribution exists, because the case is unique and there is nothing to count.

By that test, only some of this morning's numbers are probabilities. The Nasdaq at 24,932 sits 113 points, 0.45%, above its 24,819 lower band. That is a measurable distance you can act on. The tanker count is a fact anyone can watch daily. Forty percent is a different kind of object: a market opinion about a coin toss taken on June data, with no dot plot and a Chair who has abolished forward guidance. Nor is the oil move a probability. Washington describes friendly negotiations; Tehran's foreign ministry says it currently has no negotiations with the United States. There is no distribution over that. Knight's argument was not that uncertainty forbids acting. It was that the reward belongs to whoever bears it knowingly. The error is dressing it as risk.

THE RISK IT JUSTIFIES

So take the measurable risk and decline the unmeasurable one wearing its clothes. Pre-decide the Nasdaq level while the tape is quiet. What you do at 24,819 is a question with an answer, and the answer is worth more written down now than improvised on Thursday between the Fed press conference and four large-cap prints.

Do not size anything as though the oil unwind were finished. Crude net length is 153,515 contracts, below its three-month, six-month and one-year averages. The futures crowd never chased the 29% monthly rally, which limits forced selling and leaves ample room to reprice on one failed-talks headline. Sit still on the peace trade. Hold what a level can justify rather than what a hope can.

What would change this: transits normalising toward a hundred a day. Then the oil move stops being sentiment and becomes supply, uncertainty converted into something countable, and the pause finally worth its price.

Which of this morning's numbers would you still trust if the headline reversed by lunchtime?